MODULE 12

CASE STUDY

Celonis: From TUM Lab to €13 Billion

Three TUM students face the defining question: bootstrap forever or take the venture rocket?

Prepare this case before class. Come ready to take a position.

THE SITUATION

Celonis, 2016

Alexander Rinke, Bastian Nominacher, and Martin Klenk started Celonis as a student project at TUM. By 2016, they've bootstrapped to €10M ARR selling process mining software to German enterprises. The company is profitable and growing 100% year-over-year.

US venture capital firms are knocking. They see process mining as a potential multi-billion-dollar category. The founders must decide: keep the profitable bootstrap path, or take venture money to blitzscale globally?

KEY FACTS

- 3 TUM student founders
- €10M ARR (bootstrapped)
- 100% YoY growth
- Profitable, cash-flow positive
- On the table: $27.5M (Accel + 83North)
- Process mining: emerging €10B+ category

THE DECISION

Should Celonis raise venture capital, and if so, how much?

OPTION A

Keep bootstrapping — you're profitable, growing 100%, and own 100% of the company

OPTION B

Take the $27.5M — expand deliberately, raise from strength, keep control

OPTION C

Go bigger — shop for a mega-round and blitzscale before the category closes

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. When is bootstrapping a strength and when is it a liability?
1. What terms on a term sheet matter most for founders who want to maintain control?
1. Apply the 'default alive or default dead' framework to Celonis's 2016 position.
1. What can you learn from Celonis's TUM origins? How does local context shape fundraising decisions?